

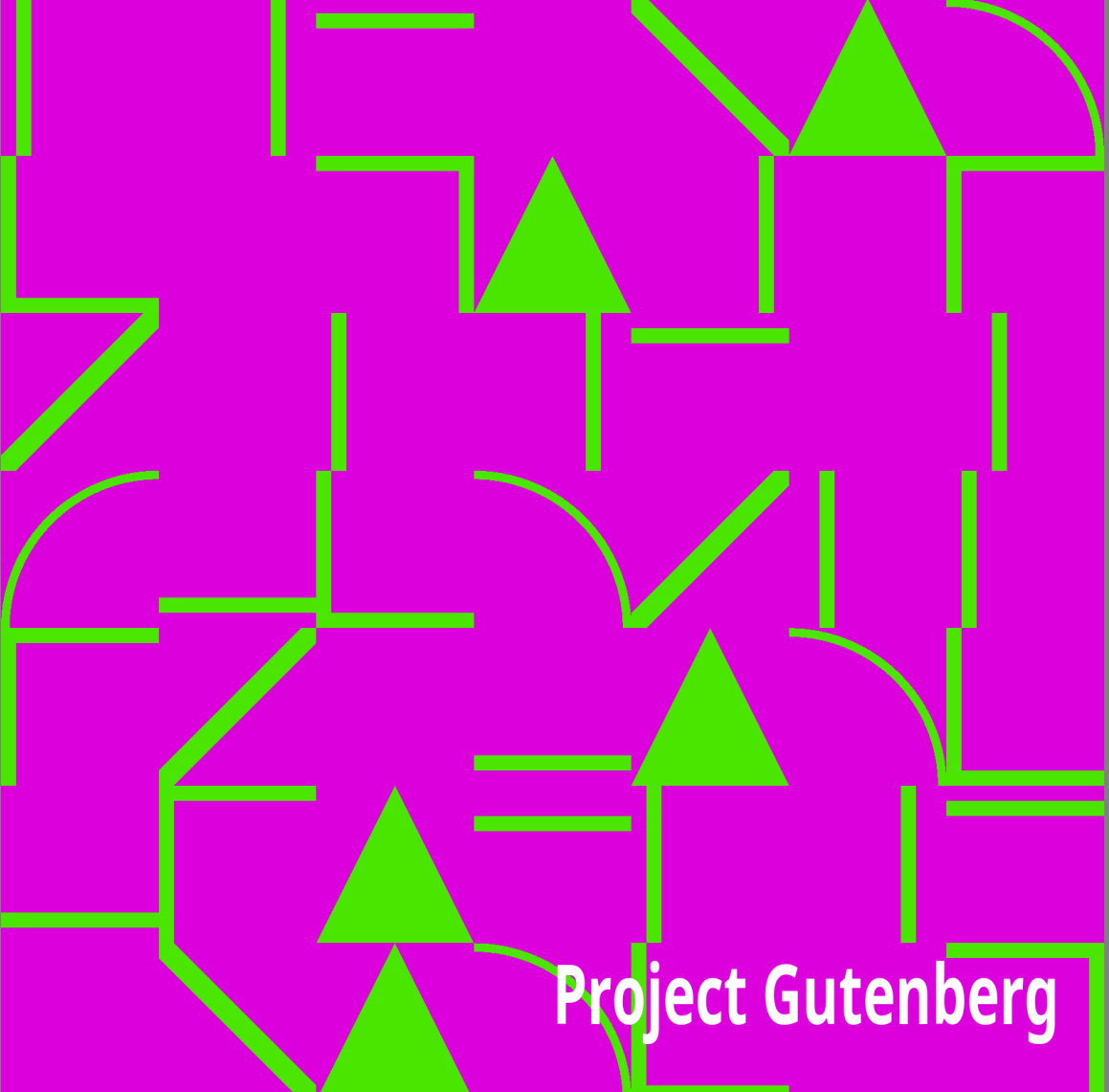
The Mail Pay on the Burlington Railroad

Burlington & Quincy Railroad Company

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*** START OF THE PROJECT GUTENBERG EBOOK THE MAIL PAY
ON THE BURLINGTON RAILROAD ***

THE MAIL PAY ON THE BURLINGTON RAILROAD

Statements of Car Space and all Facilities Furnished
for the Government Mails and for Express and
Passengers in all Passenger Trains on
the Chicago, Burlington and
Quincy Railroad

Prepared in accordance with requests of the Post-Office Dept.

THE MAIL PAY

ON THE

Chicago, Burlington & Quincy Railroad

The present system under which the Government employs railroads to carry the mails was established in 1873, thirty-seven years ago. Under this system, the Post Office Department designates between what named towns upon each railroad in the country a so-called "mail route" shall be established. Congress prescribes a scale of rates for payment per mile of such mail route per year, based upon the average weight of mails transported over the route daily, "with due frequency and speed," and under "regulations" promulgated from time to time by the Post Office Department. To this is added a certain allowance for the haulage and use of post office cars built and run exclusively for the mails, based upon their length. The annual rate of expenditure to all railroads for mail service on all routes in operation June 30, 1909, was \$44,885,395.29 for weight of mail, and for post office cars \$4,721,044.87, the "car pay," so-called, being nine and five-tenths per cent of the total pay. The payment by weight is, therefore, the real basis of the compensation to railroads. The rate itself, however, varies upon different mail routes to a degree that is neither scientific nor entirely reasonable. The rate per ton or per hundred pounds

upon a route carrying a small weight is twenty times greater than is paid over a route carrying the heaviest weight. The Government thus appropriates to its own advantage an extreme application of the wholesale principle and demands a low rate for large shipments, which principle it denounces as unjust discrimination if practiced in favor of private shippers by wholesale. The effect of the application of this principle has been to greatly reduce the average mail rate year by year as the business increases. This constant rate reduction was described by Hon. Wm. H. Moody (now Mr. Justice Moody of the United States Supreme Court) in his separate report as a member of the Wolcott Commission in the following language:

"The existing law prescribing railway mail pay automatically lowers the rate on any given route as the volume of traffic increases. Mr. Adams shows that by the normal effect of this law the rate per ton mile is \$1.17, when the average daily weight of mail is 200 pounds, and, decreasing with the increase of volume, it becomes 6.073 cents when the average daily weight is 300,000 pounds."

NOTE.—Since 1907 the railroads have been paid at much reduced rates. On the heavy routes the pay is now 5.54 cents per ton per mile.

Post Office Department officials have announced, as their conclusion from the results of the special weighing in 1907, that the average length of haul of all mail is 620 miles.

The bulk of the mail is now carried on the heavy routes at 5.54 cents per ton per mile, or \$34.34 per ton for the average haul, that is, for one and seven-tenths cents per pound.

The railroads, therefore, receive less than one and three-fourths cents per pound for carrying the greater part of the mails.

But the rate reduction for wholesale quantities has not had the effect of reducing the actual remuneration of the railroads for carrying the mails to

nearly so great an extent as the increasing requirements for excessive space for distributing mails en route. This feature was likewise discussed by Judge Moody in his report in the following language:

"The rule of transportation invoked is based upon the assumption that the increase of traffic permits the introduction of increased economy, notably, the economy which results in so loading cars that the ratio of dead weight to paying freight is decreased. Yet this economy is precisely what our method of transporting mail denies to the railroads. Instead of permitting the mail cars, whether apartment or full postal cars, to be loaded to their full capacity, the Government demands that the cars shall be lightly loaded so that there may be ample space for the sorting and distribution of mail en route. In other words, instead of a freight car, a traveling post office."

An illustration of the extent to which the reductions have been carried, as shown upon one railroad system, is set forth in the letter of January 21, 1909, addressed to the Committee on Post Offices and Post Roads of the House of Representatives by Mr. Ralph Peters, President of the Long Island Railroad, who states that the actual cost to his company of carrying the United States mail for the year was \$122,169, while the total compensation for that service paid by the Government was \$41,196. Mr. Peters says:

"The Long Island Company received from the Government for mail service performed in expensive passenger trains one-half the rate received by it per car mile for average class freight in slow-moving freight trains."

The Long Island Company notified the Government that it would decline to carry the mails by the present expensive methods, unless Congress makes some provision for a more adequate compensation. A notification of similar import has been given by The New York, New Haven & Hartford Railroad Company, the principal carrier in New England. Their position in this matter will undoubtedly be taken by other roads, because the same condition of inadequate compensation prevails upon hundreds of small railroads and mail routes, especially in the Southern and Western States.

Notwithstanding these facts, a powerful interest, which commands the public ear and derives great profit from the one-cent-per-pound rate of postage, has, in order to divert public attention from itself, for years industriously and systematically circulated false statistics and false statements among the people regarding the railroad mail pay, and is now circulating them.

The extent to which the public is being deceived regarding the railroad mail pay is disclosed daily. In a recent hearing before the Senate Committee on Post offices and Post-Roads, Senator Carter of Montana said:

"We are all getting letters on this subject. I received the other day a letter from a very intelligent lady in Montana claiming that the Government is paying to the Northern Pacific Railway on that branch line for carrying the mail \$97,000 per year. On inquiring at the Post Office Department, I find that the total compensation of the Northern Pacific Company for mail service on that line is \$3,070 per year."

This state of things was a sufficient reason for the Post Office Department to institute the present series of inquiries tending to show the space in passenger trains upon the railroads demanded and used by the Government for the mails in comparison with the space devoted to express and passenger service, and the relative rates of compensation in each class of service and the extent to which the roads are receiving for carrying the mails the cost to them of performing the service. In order to give these facts fair consideration, it is not necessary to admit that "space" is, or is not, a better and more workable basis for determining what is reasonable mail pay than "weight," nor to admit that the companies are only entitled to be paid by the Government for the service rendered to it the bare cost of rendering that service, that is, to receive back the train operating cost. Questions of speed and facilities furnished, and the preference character of the traffic and the exceptional value of the service, and other elements, must be considered as well as space and cost, but that is no reason why the relative proportion of space used and the relation of compensation to cost should not be ascertained and given due weight, in the consideration of the important question of what is adequate mail pay to the railroads.

The following pages are based upon answers to the interrogatories of the Post Office Department and contain a statement of the mail service performed by the Chicago, Burlington and Quincy Railroad Company, a system extending westward from Chicago into eleven different States and embracing approximately ten thousand miles of main and branch lines.

The two principal tables of interrogatories were sent out under date of September 28, 1909, by the Post Office Department as the basis for this investigation.

These tables indicate the minute and thorough manner which the Department employed in making this inquiry.

Some questions having arisen regarding the meaning and scope of the word "authorized" in connection with the returns of space occupied and used for the mails in Post Office cars and apartment cars, and in certain other features, the Department, under date October 23, 1909, issued an important supplementary letter of instructions.

Pursuant to these interrogatories, instructions and requests the Burlington Company has filed with the Department the exact and detailed statements, train by train and car by car, of the mail service upon each of the one hundred and two mail routes on its system, large and small, for the month of November, 1909, which were thus called for. These answers state the facts and state them in the manner prescribed wherever possible. Every inch of space on passenger trains and cars which in these tables is shown to be occupied or used for mail or express or for passengers is set down from actual measurements made, car by car, and not upon any "estimate" or "consist" basis.

In the appendix will be found four tables prepared under the direction and supervision of Mr. DeWitt which contain the results of this investigation into the mail service upon the Burlington, as disclosed in these statements.

Exhibit A is a statement of the car facilities or space used in every car in service on the road during the month of November for mail, and for express or occupied by passengers based upon replies to questions prescribed in Form 2601.

Exhibit B is a statement of the station facilities, furnished for the mail, prepared on Form 2602.

Exhibit C is a statement of Revenues and Expenses and of train and car mileage, prepared on Form 2603.

Exhibit D is a statement of the number, and cost, and present value of Post Office cars and Apartment cars, prepared on Form 2605.

THE INTEGRITY OF THE RETURNS.

In November, 1909, all the service rendered in all passenger trains and cars of the Burlington system, reduced to a common basis of car foot miles (that is, each foot of linear space that was carried one mile), amounted to 529,936,590 car foot miles, divided as follows:

In		
Passenger	Mails.	Express.
Service.		
428,164,920	62,246,130	39,525,540
(80.8%)	(11.75%)	(7.45%)

The original circular of the Post Office Department contained certain "notes," to the effect that in reporting the length of postal cars and apartment cars, and the space therein used for mails, the railroad companies should only report the length or space "authorized" by the officials of the Department; also that in reporting space used in cars for what is known as the "Closed Pouch Service," the railroads should make an arbitrary allowance of six linear inches across the car for the first 200 pounds or less of average daily weight of pouch mail and three linear inches for each additional 100 pounds.

These directions were modified by the subsequent circular letter of the Department, dated October 23, 1909.

This letter, among other things, directs the company to take credit for "surplus" space in post office cars and apartment cars, if actually used for

the storage of mails.

The practical difficulties attending the measurement and proper allotment of the space used for the mails in postal and other cars run on a passenger train will be better understood when it is known that such space is or may be described in at least eight different ways, and is actually used on the Burlington road as follows, namely:

1. Space in post office cars specially "authorized" (43.03%).
2. Space in apartment cars specifically "ordered" (20.69%).
3. Space ordered in post office cars operated in lieu of apartment cars (4.3%).
4. Additional space actually used for storage of mails when the railroad company operates larger post office or apartment cars than the authorization calls for (1.5%).
5. Space in storage cars actually used for mails (12.87%).
6. Space in baggage cars used for closed pouch mails (4.06%).
7. The return deadhead movement of space ordered and required in one direction only (8.35%).

(Ninety-five per cent of all the "space" shown in these returns for the Burlington, as used for the mails, comes within the foregoing seven classes, as properly authorized space about which no question can arise.)

8. "Surplus" space; that is, space furnished to the Government in post office and apartment cars in excess of actual requirements (5.2%).

This five per cent is the only portion of the space claimed as used for mails regarding which any question can be raised, affecting the integrity of these returns.

What is the correct view as to this five per cent?

It is manifestly against the interest of the railroad company to furnish space for mails that is not required, and it will never furnish such space if it can be avoided. But the "requirements" of the Post Office Department are not fixed and certain quantities, by any means. It is entirely impracticable for any railroad company to keep on hand at all times a supply of cars of all

lengths in order to meet exactly the requirements of the Department officials.

These statistics have been called for by the Post Office Department to enable it to make accurate comparisons between the space used and the facilities furnished on passenger trains for the three classes of service performed, that is, for express companies, for the Government in mail carriage, and for passengers. The point of the whole inquiry is this:

Does the Government contribute to the cost of the passenger train service upon the railroads of the country its fair share, that is, in proportion to the space and facilities it demands and requires the companies to furnish for the mails?

In making the comparison all the car space in all passenger trains must be measured and tabulated and has been measured and tabulated in the tables here submitted.

A passenger car may have seats to accommodate eighty persons; the average load it carries may be fifteen persons. But in making up these returns of "space," all the empty space in that car is credited as passenger space. That car may likewise be loaded only one way and returned "dead head," but these returns have credited such return movement as passenger space.

The same is true of the express service in these returns. All space in all baggage and express cars set aside for the express company's use is, in these tables of statistics, credited to express, whether in fact loaded or "surplus," or "dead head" space.

How is a comparison possible, unless the space credited to the mails is recorded in the same way? As stated above, only five per cent of the whole space is involved in the question of "surplus" space, and if that five per cent should be entirely thrown out, the percentage results would not be materially changed.

RESULTS UPON THE BURLINGTON ROAD.

The Government cannot justly ask a railroad company to carry the mails without profit.

The passenger business on the Burlington road is conducted without profit if it is charged with the expenses assignable to passenger traffic, and a proper proportion of the expenses not thus specifically assignable, and a fair share of the taxes and the charges for capital in the form of interest on bonds and dividends on stock. The profit in the business comes from the freight.

This fact gives force to the present inquiry of the Post Office Department to determine whether the Government, in proportion to the service and facilities it requires from the roads on passenger trains, is contributing a fair proportion of the passenger train earnings. If the passenger train business, as a whole, is carried on at a loss, the Government ought, in fairness, to stand at least its share of the loss.

The earnings of the Burlington Company from all passenger train service in November were \$2,242,099.

The following table shows the earnings from passengers, from mail and express, and the space used in passenger trains by the three classes of traffic and the proportion of earnings contributed for facilities so used:

	<i>Earnings.</i>	<i>Car Foot Miles.</i>
Passengers	\$1,859,839 (82.95%)	428,164,920 (80.80%)
Express	187,825 (8.38%)	39,525,540 (7.45%)
Mails	194,435 (8.67%)	62,246,130 (11.75%)
Total	<u>\$2,242,099</u>	<u>529,936,590</u>

This table shows that for each one thousand feet of space used in passenger trains the three classes of passenger traffic contributed in earnings as follows:

Passengers	\$4.34	139.1%
Express	\$4.75	152.2%
Mails	\$3.12	100%

In proportion to the space occupied and facilities used on passenger trains, the Burlington road receives from passengers 39 per cent more than the Government pays for mail transportation, and from the Adams Express Company 52 per cent more; that is, the express business pays the railroad company better than the Government pays for carrying the mails by 52 per cent.

If the Government had paid to the railroad company as much as the express company for each foot of space required and used on passenger trains, it would, for November, have paid \$101,233 more than it did pay, or an increase in annual mail pay of more than a million dollars.

It may be of interest to note that the returns for the Pennsylvania System just being filed show the following:

	<i>Earnings.</i>	<i>Car Foot Miles.</i>
Passengers	79.8%	76.2%
Express	12.6%	13.7%
Mails	7.6%	10.1%

For each 1,000 feet of passenger train space used on the Pennsylvania the traffic contributed in earnings as follows:

Passengers	\$4.45	139%
Express	3.91	122%
Mails	3.20	100%

On the Pennsylvania the passenger business is worth to that company 39 per cent more than the Government mail business, and the express business is worth 22 per cent more than the mails, indicating that express rates are relatively higher in the West than the East, but that neither in the East nor in the West is it a paying business to carry the mails at present rates.

IS THE GOVERNMENT PAYING THE RAILROADS FOR CARRYING THE MAILS THE COST OF DOING THE WORK?

No. The Government paid the C. B. & Q. for carrying the mails in November \$194,435, or at the rate of \$2,333,220 annually.

The total operating expenses of the road for that month were \$5,452,830.

The items of passenger train operating expense strictly assignable were as follows:

Transportation Expense		\$454,208
Fuel passenger engines	\$132,709	
Salaries passenger engineers	100,511	
Salaries passenger trainmen	87,557	
Train supplies, etc.	55,664	
Injuries to persons	19,904	
Station employees	17,160	
Joint yards and terminals	15,610	
Miscellaneous	<u>25,093</u>	
Maintenance of Equipment		\$107,626

Repairs, passenger cars	\$67,650	
Depreciation, passenger cars	39,639	
Miscellaneous	<u>337</u>	
Traffic Expense		\$48,971
Advertising	\$17,249	
Outside agencies	16,673	
Superintendence	10,272	
Miscellaneous	<u>4,777</u>	
Maintenance of Way, etc.		\$12,970
Buildings and grounds	\$7,053	
Joint tracks, etc.	4,440	
Miscellaneous	<u>1,477</u>	
General Expense		\$13,580
Salaries, clerks, etc.	\$8,994	
Insurance	2,478	
Legal expense	1,153	
Miscellaneous	<u>955</u>	
Total		\$637,355
Proportion operating expense not assignable		<u>\$1,278,016</u>
Total		\$1,915,371

A large part of the operating expenses of every railroad, such as maintenance of roadway, station expense, general office expense and the like, are common to both the freight and passenger service, and it seems impossible to assign all of them specifically. The Post Office Department, in the circular under which the roads are reporting, recognizes this condition and calls for the "proportion" of the expense "not directly assignable and the basis of such apportionment."

The apportionment of non-assignable expense on the Burlington has been made on the basis of train mileage.

In the month of November the mileage of passenger trains was forty-five and four-tenths per cent of the total train mileage, and the foregoing sum (\$1,278,016) of non-assignable expense is forty-five and four-tenths per cent of the operating expenses for that month, common to both kinds of traffic, and therefore incapable of specific assignment to either.

These two classes of passenger expense (assignable and non-assignable) aggregate \$1,915,371 monthly, or at the rate of \$22,984,452 per year, and 11.75 per cent of this sum, or \$2,700,675, is the annual operating cost to the Burlington Company of transporting the Government mails.

Cost of carrying the mails	\$2,700,675
Earnings from carrying the mails	2,333,220
Loss	\$367,455

These figures show that, in proportion to the service rendered, the Government paid to that company \$367,455 less than the actual cost of doing the work, not including anything for taxes, nor for interest paid by the company upon its funded debt, which was necessary to be paid, in order to preserve the property, to say nothing of a return upon the capital represented by the capital stock.

The correct mail's proportion of taxes and interest for the year is \$634,713, which added to the \$367,455 loss above operating expenses, shows a loss of \$1,002,168:

Loss, operating expenses over revenue	\$367,455
11.75% of taxes and interest	634,713
Annual loss on mails	\$1,002,168

This takes no account of the annual value at two cents per mile of the transportation of inspectors and postal employees, other than clerks in charge of the mails (\$74,352), nor of clerks in charge of the mails (\$746,340).

These two items of service rendered to the Government by the C. B. & Q. road are of the admitted value of \$820,692 annually.

The railroad company has the same duty and legal responsibility towards these clerks as towards passengers.

Is there another fair way of testing this question?

In a letter dated March 2, 1910, from Hon. Frank H. Hitchcock, Postmaster-General, to Hon. John W. Weeks, Chairman of the Post Office Committee of the House, printed in full herewith, he states it is estimated that the average annual cost to the railroads of operating a post office car for the Government is \$19,710, including \$2,049 for lighting, heating, repairs, etc., and that the total average pay received for the car and its contents including post office car pay, is \$16,638 per annum, showing a loss in this branch of the service of \$3,073 per car. There are 1,111 full postal cars in actual service in the country, and the loss thereon, therefore, aggregates \$3,414,103, to say nothing of the 231 postal cars in reserve.

But that is the smaller part of the loss. There were 3,116 apartment cars in actual use in 1909, averaging twenty feet in length, and the cost of operating each of these, according to Mr. Hitchcock's figures, would be one-third of \$19,710, or \$6,570.

The average haul of apartment cars is 48 miles, and the average load in a twenty-foot apartment car is officially stated as 607 pounds, making the rate per mile on routes carrying an average daily weight of only 607 pounds, \$68.40 per annum, and the average earnings, therefore, \$3,283 per year, an average loss of \$3,287 per car and an actual loss per year from operating the

3,116 apartment cars of \$10,642,292, to say nothing of the 639 apartment cars in reserve.

The C. B. & Q. has 76 full post office cars and 104 apartment cars, and applying to them the foregoing figures given in Mr. Hitchcock's letter, the loss from operating them in 1909 was \$575,396, adding to which \$634,713, the mail's proportion of taxes and interest, that must be included in estimating "cost," in which the Government's business should share, the estimated loss on the business was \$1,210,109, compared with \$1,002,168, arrived at by charging the Government business with 11.75 per cent of the passenger expense, that being its proportion of the space used in passenger trains.

The Government should be willing to pay fairly for what it exacts from the railroads, and it exacts from the C. B. & Q. 11.75 per cent of its passenger train facilities. If it had paid 11.75 per cent of the passenger train expenses of the road in 1909, it would have paid approximately a million dollars more than it did pay.

The Government which demands from the railroads that they build and transport daily over their roads for its benefit 5,100 traveling post offices as full postal cars and apartment cars should be willing to pay what the Postmaster-General estimates to be the actual cost of operating those cars, and a fair proportion of the taxes and interest.

If it had paid such cost in 1909, it would have paid to the C. B. & Q. approximately a million dollars more than it did pay.

RESULTS ON VARIOUS MAIL ROUTES.

The foregoing are statements of results on the Burlington System as a whole, showing earnings and expenses and facilities furnished to the Government mail service.

It may be of interest, and throw light on the situation, to show results for November upon several separate mail routes in the system, ranging from small routes carrying 200 pounds of mail daily, up, through routes carrying weights, respectively, of 1,300, and 8,000, and 20,000 pounds daily, to the

heaviest route carrying 192,000 pounds, covering the fast mail service from Chicago to Omaha.

Weights of express packages are not kept on separate mail routes and statements therefore of express earnings for such separate mail routes are necessarily estimated, but, as given in the following tables, they are approximately correct and corroborate the comparative results for the Burlington system as a whole, which results are based upon exact figures for express as well as for mails and for passengers.

I.

Route 157,030, Kenesaw to Kearney (Nebraska), 24.68 miles. Average Daily Weight 216 Pounds.

	<i>Percentage of Space Occupied.</i>	<i>Percentage of Earnings.</i>	<i>Should Earn on Basis of Space Used.</i>	<i>Did Actually Earn.</i>
Passenger	83.79	88.90	\$1,238	\$1,314
Mail	9.37	6.02	139	89
Express	6.84	5.08	101	75
				\$1,478

The mail earnings on this route are \$89 per month, or \$3.44 daily. The service for the Government is performed in an apartment car fifteen feet long, and closed pouch service, four trains carrying mail daily, except Sunday, giving an actual return to the railroad of three and a half cents per mile run, or about one passenger fare at three cents per mile although the Government demands the use of a 15-foot car fitted up as a post office in which a postal clerk is carried free, and this car must be lighted, heated and kept in repair, and carried over the route each way daily, except Sunday.

On this branch the actual earnings on passengers per passenger car are 55 cents per car mile.

The post office apartment car equals one-quarter of a passenger car, and the mail should, on this basis, earn at least 14 cents per mile, but it does earn, for all the mail service, at the rate of 3-½ cents per mile, less the expense of delivering mail to and from post offices.

During the weighing period the mails are carried on 90 days and weighed on 90 days, but under the Cortelyou order, these aggregate weights are divided by 105 and the result is called the "average" and forms the basis of pay on this route for four years.

This mail service in a traveling post office on an expensive railroad is paid about one-third the rate per mile that the Government pays to a rural route carrier who carries an average of 25 pounds of mail.

II.

Route 157,028. Odell to Concordia, Kansas. 72 Miles. Average Daily
Weight, 282 Pounds.

	<i>Per cent Space</i>	<i>Per cent Earnings</i>	<i>Should Earn on Space</i>	<i>Did Earn.</i>
Passenger	80.82	81.44	\$2,482	\$2,501
Mail	11.76	9.38	361	288
Express	7.42	9.18	228	282
				\$3,071

Mail earnings \$288 per month (26 days), or \$11 per day.

This service demands a twenty-five-foot apartment car each way for which the pay amounts to 7.64 cents per car mile run, or about the fares of two passengers at three cents per mile who may occupy one seat.

The service is six days per week, but the aggregate weight carried in the six days is divided by seven to obtain the Cortelyou "average" on which the pay is based.

The payment for a twenty-five-foot traveling post office is a little over half the pay per mile for a rural route carrier.

III.

Route 135,012. Streator to Aurora (Ills.). 60 Miles. Average daily weight, 1,303 pounds.

	<i>Per cent Space</i>	<i>Per cent Earnings</i>	<i>Should Earn on Space</i>	<i>Did Earn.</i>
Passenger	72.84	85.64	\$4,800	\$5,643
Mail	17.38	7.51	1,145	495
Express	9.78	6.85	644	451
				\$6,589

Mail earnings (26 days), \$495 per month, or \$19 per day.

Four trains on this road carry mail daily, two each way, two in a twenty-five-foot mail apartment and two in a thirty-foot mail apartment, an average earning rate of 7.88 cents per car mile.

The passenger cars on this branch carry an average of 24 passengers each, and earn 48 cents per car mile. The average mail apartment furnished is half a passenger coach.

These four apartment cars, at the same rate as the passenger cars (24 cents per mile), would earn \$18,029 per year.

The passenger train earnings on the branch are \$79,000 a year. The mails demand 17.38 per cent of the facilities, and on that basis should earn for the company \$13,730.

The mail earnings were \$5,940, this being the annual compensation after a reduction of nine and one-half per cent through the Cortelyou order, requiring the aggregate of 90 weighings to be divided by 105 to ascertain the "average."

IV.

Route 164,004. Edgemont to Billings (Wyoming). 366 Miles. Average Daily Weight, 8,087 Pounds.

	<i>Per cent Space</i>	<i>Per cent Earnings</i>	<i>Should Earn on Space</i>	<i>Did Earn.</i>
Passenger	85.79	89.22	\$85,476	\$88,895
Mail	10.43	6.18	10,392	6,156
Express	3.78	4.60	3,766	4,583
				\$99,634

Two 60-foot postal cars are run daily each way.

The mail earnings are \$6,156 per month, or \$205 per day.

The total earnings of the passenger trains on this road are \$1,195,000 a year, and the mails required 10.43 per cent of the passenger train facilities; on this basis they ought to pay \$125,000 a year.

These post office cars are hauled 534,000 miles every year. The Postmaster-General estimates that the actual cost to the railroads of operating a sixty-foot postal car is 18 cents per mile. At this rate the Burlington Company should be paid \$96,000 a year for the service of the postal cars only.

It is, in fact, paid for all the mail service on this road \$73,872 annually.

V.

Route 135,010. Galesburg to Quincy (Ills.). 99.93 Miles. Average Daily Weight, 19,727 pounds.

	<i>Per cent Space</i>	<i>Per cent Earnings</i>	<i>Should Earn on Space</i>	<i>Did Earn.</i>
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Passenger	69.45	79.44	\$28,864	\$33,015
Mail	19.70	8.45	8,187	3,511
Express	10.85	12.11	4,509	5,034
				\$41,560

Mail earnings from all sources \$3,511 per month, or \$117 per day.

The service is performed in three 60-foot postal cars, two 16-foot apartments and one 27-foot apartment, each way daily; also one 44-foot postal car and one full storage car, daily except Sunday, in addition to some space furnished for closed pouches in ordinary baggage cars.

The car space provided for the mails on this route is equivalent to ten full sixty-foot cars daily, over the whole length of the route, or 365,000 car miles a year. At 18 cents per mile the pay would be \$65,700, whereas the actual pay is only \$42,132. If the Government paid for the service in proportion to the facilities it demands and receives, it would pay \$98,244.

VI.

Route 135,007. Chicago to Burlington (205 Miles). Average Daily Weight, 192,540 pounds.

	<i>Per cent Space</i>	<i>Per cent Earnings</i>	<i>Should Earn on Space</i>	<i>Did Earn.</i>
Passenger	73.14	74.72	\$210,134	\$214,671
Mail	17.19	13.74	49,387	39,462
Express	9.67	11.54	27,782	33,170
				\$287,303

On the basis of space used and facilities provided for the mails, the Burlington road is underpaid \$119,000 a year on this route.

Two-thirds of the weight of mail is carried in special trains run at great speed and unusual expense, for which no extra allowance is made. The

extension of the route to Omaha is across Iowa, where it is "Land Grant," and subject to land grant deductions.

The Government made a "gift" to the company in 1856 of lands amounting to 358,000 acres and then valued at \$1.25 per acre, or \$447,500.

The mail pay deductions to June 1, 1910, on account of this Iowa land grant aggregate \$1,650,000, and still continue at the rate of \$62,000 a year.

Neither in the foregoing six statements of results upon separate mail routes, nor in the general statement of results upon the Burlington Road has any allowance been made for the expense to the company of what is called the "Mail Messenger Service."

At all points where the post office is not over one-fourth of a mile from the railroad station the railroad company must have all the mails carried to and from the post office.

What an important item of expense this amounts to appears in the following extract from the Report of the Wolcott Commission, which states:

"Out of 27,000 stations supplied by messenger service 7,000 are paid for by the Department at a cost of between \$1,000,000 and \$1,100,000 per annum, leaving the other 20,000 stations to be supplied by and at the expense of the railroads."

Investigation has shown that on mail routes, where the average mail pay of the railroad company is \$900 a year, the average cost of this mail messenger service is \$400, calculating only \$100 as the expense for each station where they are required to perform the service. There are instances where the company pays in cash each year, for delivering the mails between station and post office, considerably more than the Government pays for the entire mail service over its line of road. There is no such feature in the express service.

WHY DO RAILROADS CARRY THE MAILS WITHOUT PROFIT?

The question is sometimes asked why the railroads continue to carry the mails if there is no profit in the business. Carrying the mails is not the only traffic which railroads take upon terms that would bankrupt them if applied to all their business.

There is no profit in running passenger trains on most railroads; that is, the receipts from all the traffic carried on passenger trains are not sufficient to pay a train mileage or car mileage share of operating expenses and taxes and charges for the use of capital. But a large part of this cost of conducting the business of a railroad, such as taxes, interest, maintenance of roadway, general office expenses, and many others, would continue substantially the same if the passenger trains were discontinued. Having the railroad, and its taxes, and interest, and maintenance expenses to meet, anyhow, no railroad can afford to refuse any income from passenger trains that amounts to more than their train operating cost. On the same principle they accept low rates per mile as a share of through passenger fares which, if applied to all passenger fares, would show a loss. The road is there, the trains are running, and the cars only partially loaded; the addition of through passengers may not materially increase the expense, and the road is better off to accept the business at less than the average cost, rather than to reject it. But whatever the passenger trains lose must be made up by the freight trains if the road is to continue in business.

The constant aim of the managers of the railroad is to secure from each class of traffic not only the operating cost peculiar to that traffic, but a proportion of the general cost; but business is not necessarily rejected on which it is impossible to secure such proportion.

Many of the reasons which impel them to run passenger trains without profit apply to their acceptance of the Government mails. They facilitate the freight business; it is better to carry them at a loss than not to carry them at all.

But is that any reason why the Government should not pay fair value for what it receives? Is it good policy for the Government to force upon the companies the alternative of carrying the mails at a loss or refusing to carry them at all?

What are the mails?

They are the letters and packets that are conveyed from one post office to another under public authority.

Who conveys them? The railroads convey nine-tenths of them.

The railroads are the mail service of this country. The Post Office Department states that it receives from the people who use the mails eighty-four dollars on every one hundred pounds of letters and post cards. Who makes that money for them? The railroads. The railroads convey those letters and cards from post office to post office—not the Government.

For a service like that the Government can afford to pay.

What does it pay?

On the great bulk of the business the railroad companies which do the work and earn the money receive less than two dollars a hundred. On every pound of first-class mail the Government collects eighty-four dollars a hundred.

The fact that the Congress, for purposes of general education or other reasons, thinks it is good public policy to carry the magazines and other second-class matter at one dollar a hundred is something about which the railroads have nothing to do and nothing to say.

The mail pay of the railroads has been reduced in the past four years more than eight million dollars a year. Part of this was done by act of Congress, but the greater part came from the arbitrary and illegal Cortelyou order.

These reductions were made without any hearing being granted to the railroads. Hearings were refused by the Committee which reduced the pay three and a half millions, and no pretense of a hearing was made by Secretary Cortelyou when his autocratic order was issued reducing the mail pay approximately five million dollars a year. This order was an arbitrary and unwarranted and illegal exercise of executive power.

The last hearing allowed to the railroad companies on this subject was by the Wolcott Commission, 1897 to 1900, composed of eminent Senators and Representatives. They reported, after two years' investigation, that the mail pay was reasonable and should not be reduced. Upon the question whether

railroads should be asked to carry the mails at a loss their report expressed the following views:

"It seems to the Commission that not only justice and good conscience, but also the efficiency of the postal service and the best interests of the country demand that the railway-mail pay shall be so clearly fair and reasonable that while, on the one hand, the Government shall receive a full *quid pro quo* for its expenditures and the public treasury be not subjected to an improper drain upon its funds, yet, on the other hand, the Railway Mail Service shall bear its due proportion of the expenses incurred by the railroads in the maintenance of their organization and business as well as in the operations of their mail trains.

"The transaction between the Government and the railroads should be, and in the opinion of the Commission is, a relation of contract; but it is a contract between the sovereign and a subject as to which the latter has practically no choice but to accept the terms formulated and demanded by the former; and, therefore, it is incumbent upon the sovereign to see that it takes no undue advantage of the subject, nor imposes upon it an unrighteous burden, nor 'drives a hard bargain' with it. The Commission, therefore, believes that the determination whether the present railway mail pay is excessive or not should be reached, as near as may be, upon a business basis, and in accordance with the principles and considerations which control ordinary business transactions between private individuals."

THE POSTAL CAR PAY.

The wide credence which has been given to the statement that the Government is paying to the railroads an annual rent for postal cars equal to the cost of building them is remarkable.

The Government does not pay a rental for any car. The idea is an erroneous one, and is based upon ignorance regarding the payment of what is called "Post Office Car Pay."

Originally, the mail business on railroads was the transportation of mail bags, and was essentially a freight traffic. But its character has entirely changed.

The business now consists almost wholly in providing moving post offices, expensive to build and expensive to operate, in which the average weight for which pay is received is about two tons in full postal cars and six hundred pounds in apartment cars.

The Post Office Department weighed all the mails carried in all postal cars and apartment cars in the country during October, 1907, and the average weight of mail on the Burlington road loaded in a forty-foot postal car was found to be less than 2,000 pounds; in fifty-foot cars it was 2,500 pounds; and in sixty-foot cars it averaged less than 4,500 pounds; in apartment cars it was 607 pounds.

The average load carried in an ordinary freight car on the Burlington road is from 36,000 to 40,000 pounds. Railroads, as a rule, haul a ton of paying or productive freight for every ton of dead or unproductive load. In the Government mail business they carry nineteen tons of dead weight for each ton of paying weight.

These cars are fitted up as post offices and are used for distribution en route in order to expedite and facilitate the prompt transmission and delivery of mails. They largely take the place of very expensive distribution offices in cities.

The railroads provide cars for freight traffic, but refused to build, and maintain, and haul these moving post offices with their clerks and paraphernalia, without pay. That is the post office car pay of which so much is said.

The truth regarding this feature of the subject is clearly stated in the following recent letter from the Postmaster-General:

(Congressional Record, March 5, 1910, 61st Congress, Second Session, Vol. 45, No. 61, Page 2852.)

LETTER OF THE POSTMASTER-GENERAL RELATIVE TO THE COST OF
FURNISHING AND OPERATING RAILWAY POST OFFICE CARS.

"OFFICE OF THE POSTMASTER-GENERAL,
WASHINGTON, D.C., March 2, 1910.

"Hon. JOHN W. WEEKS,
*Chairman Committee on Post Offices and
Post Roads, House of Representatives.*

"MY DEAR SIR: In response to your inquiry made of the Second Assistant Postmaster-General in regard to the cost of maintaining and operating railway post office cars and its relation to the compensation received by railroad companies for the same and your reference to the speech delivered by Senator Vilas on the subject in the United States Senate, February 13, 1895, I have the honor to advise you as follows:

"The Department has not at this time sufficient information upon this point to give from its own records a reliable estimate. As you are aware, we have recently asked railroad companies to submit answers to inquiries with reference to the cost of operating the mail service, and it is believed that when these shall have been received we will be in a position to furnish such information. Inasmuch, however, as it may be of importance to you to have estimates made from time to time by others and such incomplete information as we have at present, I submit the following:

"The cost of operating a railway post office car has been variously estimated (but not officially by the Department) as from 15 to 30 cents a car mile. The average run per day of such a car is about 300 miles. Estimating the cost at 18 cents a car mile, the total cost of operating such car for one year would be \$19,710.

"The specific items which constitute this total cost are not definitely known to the Department. However, as to the cost of lighting, cleaning, repairs, etc., the General Superintendent of Railway Mail Service furnished the following estimates before the Commission to investigate the postal service in 1899, viz.: Lighting, \$276; heating, \$365; cleaning, water, ice, oil, etc., \$365; repairs, \$350; proportion of original cost of car (estimating the life of a car at fifteen years and the original cost at \$6,000), \$400; total, \$1,756. Recent inquiry gives the following as the approximate cost of

maintaining a car at the present time: Lighting (electric), \$444; heating, \$150; cleaning, \$360; repairs, \$300; oil and brasses, \$120; interest on cost of car (at \$7,500), \$300; annual deterioration (estimating the life of a car at twenty years), \$375; total, \$2,049. These figures give the cost of a car built according to the Department's standard specifications. The cost of modern steel cars being built by some of the railroad companies is from \$14,000 to \$15,000.

"The compensation received by a railroad company for operating a car and carrying the mails in it would be approximately as follows:

"The pay for a 60-foot car at \$40 a track mile per annum, for a track mileage of 150 miles, would be \$6,000. The average load of a 60-foot car, according to statistics obtained recently, is 2.83 tons. The rate per ton of an average daily weight of 50,000 pounds carried over the route is \$25.06. At this rate the company would receive \$10,637.97 per annum for the average load of mail hauled in the car. This sum added to the specific rate for the railway post office car (\$6,000), makes the total pay for the car and its average load \$16,637.97 per annum.

"Senator Vilas' argument was based upon the theory that the rates fixed for railroad transportation alone, based on the weights of the mails carried, are adequate compensation for all services rendered, including the operation of railway post office cars, and that, therefore, the railroad companies would be required to operate postal cars owned by the Post Office Department for the compensation allowed by law for the weight of mails alone, including apartment-car space and facilities. Such theory is not justified by the facts, as will appear from the following:

"A careful perusal of the debates in both Houses of Congress which led to the enactment of the present law fixing the rate of pay for railroad transportation of the mails and for railway post office cars clearly indicates that the additional compensation for railway post office cars was intended to cover the additional expense imposed upon the railroad companies for building, maintaining, and hauling such cars. The companies at that time insisted that these cars, which were practically traveling post offices, did not carry a remunerative load, and that therefore the amount of pay, based on weight, did not compensate them for their operation. This led to the specific appropriation for railway post office cars. In this connection it

should be borne in mind that the purpose of the railway post office car is to furnish ample space and facilities for the handling and distribution of mails en route. Therefore, the space required is much greater than would be required for merely hauling the same weight of mails.

"In regard to any proposal for Government ownership of postal cars, other facts as well as the above should be given consideration. Such cars must be overhauled, cleaned, and inspected daily. It would be necessary to either arrange with the railway companies for this service or for the Department to employ its own inspectors, repair men, and car cleaners at a large number of places throughout the country, which would probably be more expensive than the cost to the railway companies in that respect at present. It would hardly be feasible to establish a Government repair shop. Therefore, the Department would be compelled to use the shops of the several railway companies throughout the country. Without the closest supervision and attention of the Government's inspectors it could scarcely be expected that our cars would receive the same consideration in railroad shops as those owned by the railway companies. These shops are frequently congested, and it is probable that the railroad work would be given the preference.

"Yours very truly,
"FRANK H. HITCHCOCK,
"Postmaster-General."

The Wolcott Commission carefully investigated the whole subject of Postal Car Pay and their conclusions regarding this form of compensation and its reasonableness are set forth in their report in the following language:

"Until a comparatively short time prior to 1873 the distribution of the mails in transitu was unknown. Prior to the late sixties the railroads simply transported the mails, which were delivered at the post offices and there distributed. Accordingly, 'weight' as the basis of compensation was at the time of its adoption and long thereafter entirely adequate.

"For a few years, however, prior to 1873 the distribution of the mails in transitu had been practiced to a sufficient extent to satisfy the Post Office Department and Congress that it was a desirable innovation and a branch of

the postal service that should be very much enlarged. But it was recognized that if the railroads were not only to transport the mail itself, but also to supply, equip, and haul post offices for the distribution of the mails, the compensation upon weight basis that had obtained up to that time was not entirely adequate and just, and therefore the law of 1873, as already indicated, contained a provision allowing additional compensation for railway post office cars. At first these cars were mostly not exceeding 40 or 45 feet in length and of light construction, similar to baggage and express cars.

"From the policy of the Department, however, of constantly demanding better and better facilities from the railroads and the introduction of every improvement that could be discovered, it has come to pass that, today, the railroad post office cars, with the exception of a few obsolete ones that are being discontinued as rapidly as practicable, are elaborate structures, weighing between 90,000 and 100,000 pounds; built as strongly and fitted up, so far as suitable to the purpose for which it is intended, as expensively as the best Pullman and parlor cars; costing from \$5,200 to \$6,500; maintained at a cost of \$2,000 per year; traveling on an average of 100,000 miles per annum; provided with the very best appliances for light, heat, water, and other comforts and conveniences; placed in position for the use of the postal authorities from two and a half to seven hours before the departure of the train upon which they are to be hauled, and owing to the small space allowed in them for the actual transportation of the mails, accompanied on the denser lines by storage cars for which no additional compensation is paid by the Government and on the less dense lines the larger bulk of mails is carried in the baggage cars without additional compensation for the car.

"These cars are constructed and fitted up by the railroads in accordance with plans and specifications furnished by the Department, and the amount of mail transported therein is determined exclusively by the postal authorities. From these two facts it results that the railroad must haul 100,000 pounds of car when the weight of the mail actually carried therein is only from 3,500 to 5,000 pounds—often very much less, and occasionally somewhat more.

"Taking in view all these facts, as disclosed by the testimony filed herewith, we are of opinion that the 'prices paid * * * as compensation for

the postal-car service' are not excessive, and recommend that no reduction be made therein so long as the methods, conditions, and requirements of the postal service continue the same as at present."

MAIL RATES AND EXPRESS RATES.

No feature of this question has been more persistently misrepresented than the relative value to the railroads of the mail business and the express business.

As elsewhere shown, the express business is 52 per cent more valuable to the Burlington road than the Government mails on the mere basis of space used and facilities furnished in passenger trains. There are many other considerations which increase this disparity of value in favor of the express, but reference to them is omitted in order to direct public attention to the following statements of the Postmaster-General in his recent letter upon the subject:

*(Congressional Record, March 4, 1910, 61st Congress, Second Session,
Vol. 45, No. 60, Page 2802.)*

LETTER OF THE POSTMASTER-GENERAL RELATIVE TO THE SERVICE
RENDERED BY THE RAILROAD COMPANIES IN CONNECTION
WITH THE MAILS AND WITH EXPRESS.

"OFFICE OF THE POSTMASTER-GENERAL,
"WASHINGTON, D.C., January 31, 1910.

"Hon. JOHN W. WEEKS,
*Chairman Committee on Post Offices and
Post Roads, House of Representatives.*

"MY DEAR SIR: In response to your inquiry as to the difference between the service rendered the Post Office Department by railroad companies in the carriage and handling of the mails, and that rendered express companies, I would state that from such information as we have been able

to obtain in regard to the service rendered to express companies, the difference is substantially as follows:

"The Post Office Department requires the railroad company to take the mail from the post office wherever the office is within 80 rods of the depot, and the company has an agent, and in many cases to perform the terminal service regardless of the distance between the post office and the station. Wherever the terminal service is taken up by the Department, by means of regulation or screen-wagon service, the contractor delivers the mail at a specified place at the depot, and from that point the railroad employees transport it to the cars, and if the amount is so great that it would impose a hardship upon the postal employees to load and store this mail, the railroad company is called upon to furnish porters to do the work. Where the mail messenger or contractor can drive direct to the cars, he does so. The express companies haul all of their matter to the railroad stations and put it in the cars, using their own employees and their own trucks.

"The cars furnished the Post Office Department and those furnished the express companies differ very materially. The former are built according to specifications furnished by the Department, and are fully equipped with letter cases, paper racks, drawers, and lockers for registered mail and supplies, and all of the equipment necessary for the distribution of mail en route. The cars furnished the express companies have very little, if any, interior furnishings, and are more like the cars used for the transportation of baggage. In both cases the cars used are owned by the railroad company.

"The number of employees transported for the Post Office Department is very much greater than for the express companies. There are frequently five or six clerks in the postal cars, and on fast mail trains, where there are two or three working cars to a train, the number runs up as high as 23. The express seldom requires more than two men in a car.

"The Post Office Department claims as much space at depots without specific payment therefor as may be required for the storing and handling of mail in transit. The express companies are required to pay the railroad companies for all space used at depots.

"On smaller lines a separate apartment must be furnished for the mails other than baggage mails. The express matter is usually placed in the baggage car.

"Upon arrival at terminals the railroad company may be required to unload a mail car, if the quantity is such as to impose a hardship upon the clerks, and to see that it is loaded into the contractor's wagons; or, if the terminal service devolves upon the railroad company, that it is delivered into the post office. The express company unloads and handles its own matter.

"The railroad and express companies frequently use a joint employee to handle baggage and express, thereby economizing in cost of help. That can very seldom be done in connection with the postal service.

"The railroad company has charge of all baggage mails in transit and receives them into and delivers them from the cars. It also handles other mails when necessary to transfer them between cars or trains. It is held responsible for reasonable care in their transportation. Deductions are made for failures to perform service according to contract, and fines are imposed for delinquencies. The company is required to keep a record of all pouch mails carried on trains in charge of their employees and handled at stations where more than one regular exchange pouch is involved and no mail transfer clerk is located, and to prepare and forward shortage slips when a pouch is due and not received. They are required to make monthly affidavits as to performance of service. It is understood that the company never assumes control of express matter. The Department is not informed as to the terms of contracts between railroad and express companies, and therefore can not state what responsibility is imposed as to transportation.

"Mail cranes for the exchange of mail at points where trains do not stop are erected and kept in repair by and at the expense of the railroad company, whose employees must hang the mail bag on the crane and adjust it for catching at points where the company provides side service. The mail catchers are also furnished by them. No service of this character is rendered express companies.

"A railroad company is required by law to carry the mails upon any train that may be run, when so ordered by the Postmaster-General, without extra charge therefor, and as a result the mails are carried on the fastest trains and with great frequency. Express matter is not as a rule carried on the fast limited passenger trains, nor with the frequency with which mails are carried.

"In this connection your attention is invited to pages 84 to 94, 516, 517, 860 to 863, part 1, and pages 687 to 696, part 2, of the testimony before the Congressional Commission which investigated the postal service in 1900—Wolcott-Loud Commission.

"Yours very truly,
"F. H. HITCHCOCK,
"Postmaster-General."

The Government does not own any railroad, but, under the present system, the Post Office Department dictates to the railroad companies upon what passenger trains and in what kind of cars the mails shall be carried. It insists on such space and facilities as it deems necessary for the mails being furnished on the fastest and most expensive trains and demands that these trains keep their fast schedules; this means that all other trains on the road are side-tracked and delayed whenever that is necessary in order to expedite the mails.

There are no such features in the express business.

Demanding a preference traffic, the Government ought to be willing to pay for it more than express rates. In fact, it pays much less than express rates.

The ablest and most competent witness who appeared before the Wolcott Commission on this subject was Henry S. Julier, Vice-President and General Manager of the American Express Company, who said: "Without question, the Government has the cheaper service by far."

Mr. Julier further stated that seven pounds is the average weight of packages sent by express, and the seven pound package is the typical express package, and therefore the earnings from carrying such packages are the true index of the rates actually received. Some railroads receive as their compensation fifty per cent of the express company's earnings; the C. B. & Q. receives fifty-seven and a half per cent.

Mr. Julier was asked by the Commission to file statements showing from the rates in force exactly the revenue received per hundred-weight by the railroad company from the express in comparison with the mail rates. He filed the following:

*Table Showing Rates Received by Railways Per Hundred-weight for Mails
and Rates Received for Express Between Points Named.*

		MAIL.	EXPRESS.
		Rate per 100	50 per cent of
		pounds allowed	express
		railroad	companies'
		companies under	earnings on
		last weighing,	fourteen 7-pound
		including the pay	packages
		for post office	weighing in the
		cars.	aggregate 100
			pounds, yields
			the railroad
			companies the
			rate per 100
			pounds noted
			below.
New York to			
Buffalo	440	\$1.58	\$2.80
Chicago	980	3.57	4.55
Omaha	1,480	5.38	5.95
Indianapolis	906	3.27	4.55
Columbus	761	2.49	3.85
East St. Louis	1,171	4.38	4.90
Portland, Me.	347	1.33	2.80
Chicago to			
Milwaukee	85	.34	2.10
Minneapolis	421	1.83	3.85
New Orleans	922	5.27	5.95
Detroit	284	1.34	2.80
Cincinnati	306	1.20	3.15
Cincinnati to			
St. Louis	374	1.61	3.15
Chicago	306	1.20	3.15

Cleveland	263	1.26	2.80
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Since the filing of these statistics, the rates paid to railroads for carrying the mails have been reduced almost a fifth.

The statements of the Postmaster-General and the statistics confirm the evidence of these returns that the express business is much more valuable to railroad companies than the Government mail business.

W.W. BALDWIN,
Vice-President.

JOHN DEWITT,
General Mail Agent.

MAY, 1910.

APPENDIX.

Exhibit A.

[Form 2601.]

There are on file in the Post Office Department one hundred and two separate statements showing, for the month of November as to each mail route on the Burlington system, the space occupied and used for mail and for express and for passengers.

In order to make a comparison it was, of course, necessary to reduce each item of space used in each car to a common basis of feet, and the following

table shows what are the actual facilities furnished in passenger trains for the three classes of traffic reduced to linear car-foot space:

Car Foot Mileage.

<i>Mail.</i>	<i>Passengers.</i>	<i>Express.</i>
62,246,130	428,164,920	39,525,540
(11.75%)	(80.8%)	(7.45%)

Exhibit B.

[Form 2602.]

Station Facilities Furnished for the Mails and Express and the Value of Other Items of Service Rendered.

Mail Expense.

Monthly Cost of Handling Mail at Stations, labor, etc.	\$14,241.67
Monthly rental value of mail rooms in stations	1,008.61
Monthly rental value of tracks occupied by mail cars for advance distribution	157.69
Cost of lighting and heating mail cars for advance distribution	114.25
Value of 309,827 miles of free transportation to post office employees, not including postal clerks in charge of mail	6,196.54
Switching mail cars for advance distribution	<u>2,795.80</u>

Total for November	<u>\$24,514.56</u>
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The foregoing does not include the rental value of space furnished by the railroad company to the Government for handling mails and mail trucks on station platforms, and for storing the mails on platforms at large terminals. This is a large item, but statistics of such space used were not called for. At Chicago Station platform space to the amount of over 6,500 square feet is devoted exclusively to mails handled by the Burlington and Pennsylvania.

In addition to the foregoing, the Burlington Company transported on its trains during November postal clerks in charge of mail for the Government a distance of 3,109,747 miles in the aggregate.

If the Government had paid their fare at two cents per mile the amount paid would have been \$62,174.94.

These items of station facilities and other service rendered to the Government for the mails amounted to \$86,689 for November, or at the rate of more than one million dollars annually.

Express Expense.

Rental value of space in station buildings used for express, for which no rent is paid	\$488.68
Rental value of tracks used for advance loading of express	191.11
Value of 42,298 miles of free transportation to Express Company officials and employees at two cents per mile.	<u>885.96</u>
	\$1,565.75

In addition to the foregoing, the agents and employees of the railroad company in the month of November rendered service at stations in handling express and in other ways for the Express Company to the amount of

\$10,274, but the Express Company paid to the same persons \$14,538 in commissions.

The Express Company also shared in the salaries paid to certain baggage men and other joint train employees in November to the amount of \$7,480, in addition to the payment of commissions, as aforesaid.

All the items of expense to the railroad company on account of the express in the way of space furnished and free transportation to employees, and services of station agents, amount to \$11,840, while the cash payments by the Express Company to the railroad Company indirectly, through payments in commissions to station agents and the salaries of baggage men amounts to \$22,018, a pecuniary gain or income from express of \$10,178 per month, or at the rate of \$124,136 annually, compared with a large outgo annually on account of the mails as shown in the foregoing items.

Exhibit C.

[Form 2603.]

Revenues and Expenses and Train and Car Mileage.

Revenues.

Receipts in November from all passenger traffic (not including Mail and Express)	\$1,859,839
Receipts from Express	187,825
Receipts from Mails	194,435
Total	<u>\$2,242,099</u>

Expenses.

Total Operating Expenses of the road for November	\$5,452,830
Passenger Operating Expenses, and one-twelfth of the	\$2,365,521

taxes and one-twelfth of
the interest on the funded
debt

The passenger operating expenses are distributed as follows:

Assignable Expenses.

Transportation Expense		\$454,208
Fuel passenger engines	\$132,709	
Salaries passenger engineers	100,511	
Salaries passenger trainmen	87,557	
Train supplies, etc.	55,664	
Injuries to persons	19,904	
Station employees	17,160	
Joint yards and terminals	15,610	
Miscellaneous	25,093	
Maintenance of Equipment		\$107,626
Repairs, passenger cars	\$67,650	
Depreciation, passenger cars	39,639	
Miscellaneous	337	
Traffic Expense		\$48,971
Advertising	\$17,249	
Outside agencies	16,673	
Superintendence	10,272	
Miscellaneous	4,777	
Maintenance of Way, etc.		\$12,970

Buildings and grounds	\$7,053	
Joint tracks, etc.	4,440	
Miscellaneous	<u>1,477</u>	
General Expense		\$13,580
Salaries, clerks, etc.	\$8,994	
Insurance	2,478	
Legal expense	1,153	
Miscellaneous	<u>955</u>	
Total		\$637,355

Proportion of Non-Assignable Expenses.

Operating Expenses	\$1,278,016	
Taxes and Interest	<u>450,150</u>	
		\$1,728,166
Total		\$2,365,521

Exhibit A shows that the entire space in all cars run on passenger trains on the Burlington in November was divided as follows:

Passengers occupied	80.8 % of the space.
Mail	11.75% of the space.
Express	7.45% of the space.

If each of these three classes of traffic had contributed earnings and paid expenses in proportion to the space occupied by it, the result in comparative profit or loss to the company would have been as follows:

Comparative Profit and Loss.

<i>Earnings.</i>	<i>Expenses.</i>	<i>Profit.</i>	<i>Loss.</i>
------------------	------------------	----------------	--------------

Passengers	\$1,859,839	\$1,911,341	\$51,502
Mail	194,435	277,949	83,514
Express	187,825	176,231	\$11,594
	<u>\$2,242,099</u>	<u>\$2,365,521</u>	

If the Government had paid to the Burlington Company for carrying the mails 11.75% of the actual cost of doing the work, and a proportion of the taxes and interest on the funded debt, it would, for November, have paid \$83,514 more than was paid, indicating that for the year the Government is paying \$1,002,168 less than the actual fair cost of the service it is receiving.

Exhibit D.

[Form 2605.]

Statement of Mail Cars and Apartment Cars.

Postal Cars.

<i>Kind of Car</i>	<i>Number Owned</i>	<i>Original Average Cost</i>	<i>Present Average Value</i>
60 feet or more in length	49	\$5,176.00	\$4,669.84
50 to 59 feet in length	10	4,116.00	2,595.70
Less than 50 feet in length	17	2,555.00	2,094.41
Total	76	\$4,451.00	\$3,820.84

Apartment Cars.

<i>Kind of Car</i>	<i>Number Owned</i>	<i>Original Average Cost</i>	<i>Present Average Value</i>
--------------------	---------------------	------------------------------	------------------------------

Cars with mail apartments 30 feet or more in length	27	\$3,888.00	\$2,112.78
Cars with mail apartments 25 to 29 feet in length	21	3,660.00	2,004.95
Cars with mail apartments 20 to 24 feet in length	22	3,292.00	1,810.50
Cars with mail apartments less than 20 feet in length	31	3,106.00	1,729.35
Total	104	\$3,460.00	\$1,901.71

*** END OF THE PROJECT GUTENBERG EBOOK THE MAIL PAY
ON THE BURLINGTON RAILROAD ***

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